and agriculture, working in unison as one institution in the matter of social purpose, and developmental philosophy.

At the end of June 1968, the SBI and its subsidiaries together had deposits amounting to ₹1,241 crores. Advances were ₹973 crores, and investments ₹325 crores, and accounted for 29 percent of deposits, 31 percent of advances, and 33 percent of investments of all scheduled commercial banks. Their network of 2,300 offices accounted for about a third of the total offices of all scheduled commercial banks.



In February 1968, R.K. Talwar became the Managing Director of SBI. A year later he became its Chairman. Talwar was the first professional banker to become Chairman of the SBI. But Talwar may not have made it if the then Chairman, V.T. Dehejia, had had his way. In 1968 when it was time for Talwar to be promoted as one of the Managing Directors of the bank, the Chairman was in favour of promoting J.N. Saxena, who was junior to Talwar in service but much senior in age. Luckily for Talwar, the Board of the bank was reluctant to overlook him. Among those who were not in favour of overlooking Talwar were Board members B.D. Garware and R.A. Poddar. Morarji Desai who was the Finance Minister at the time made his own enquiries about Talwar. He asked Ramnath Goenka about him since Talwar had worked as the Superintendent, Advances Department in Calcutta. The jute barons of Calcutta had found Talwar inconvenient as he had insisted on a measure of financial discipline. They attempted to sidetrack him by offering the post of Chief Executive of the Punjab National Bank, then in the private sector, with a huge increase in salary and perquisites. Talwar, even though he was passing through a rough phase with his wife's illness, did not oblige. Goenka told this to Morarji with the aim of showing how inflexible Talwar was, but it had the opposite effect. 'This is exactly the man I want,' he told Goenka[19] and approved of his appointment as the Managing Director. One year later in March 1969 he made him the Chairman. Talwar's contributions to banking form the subject of the next chapter but before we discuss these, let us briefly touch upon an economic event which took place a few months after Talwar became the Chairman,